

RE: Collection Year 2023 Tax Incentive Report

DATE: November 21, 2023

This Scope Appendix is attached by reference to the above-named engagement letter (the Engagement Letter) between Brecksville-Broadview Heights City School District (the Client) and Baker Tilly Municipal Advisors, LLC (BT).

SCOPE OF WORK

Baker Tilly will perform the following services:

Deliverables

- Establish a tax incentive report beginning with available tax year 2022/collection year 2023 information for the following incentive agreements.
 - Tax Increment Financing (TIF) projects and related property
 - Other abatements, including Community Reinvestment Areas (CRA's), Enterprise Zones (EZ), Ohio Environmental Protection Agency abatements, and other tax incentives that may exist within the District.
- The tax incentive report will identify effected assessed value, revenue received, expected revenue, and foregone revenue by including the following.
 - Total property value and taxes
 - Abated property value and taxes
 - Net (taxable) property value and taxes
 - Taxes and other payments received.
 - Dates of the agreement (begin/expiration)
- Assist the Client in determining payments received from related agreements and potential causes for material variances.
- Provide tax incentive projections as information is available.
- Attend meetings as necessary to review and discuss the report and/or projections.
- Assist the Client in reviewing and developing policy regarding tax incentive agreements, as necessary.
- Such other usual and customary advisory services as may be requested by the Client regarding this matter

Client Responsibilities

- Assist Baker Tilly personnel in identifying and coordinating with personnel as needed.
- Provide documents and communications in a timely manner

COMPENSATION AND INVOICING

Fees for services set forth in the Scope Appendix will be billed at standard billing rates based upon the actual time and expenses incurred. The scope of work will not exceed Seven Thousand Five Hundred Dollar Dollars (\$7,500) without further authorization from the Client.

SCOPE APPENDIX to
Engagement Letter dated: November 21, 2023
Between Brecksville-Broadview Heights City School District and
Baker Tilly Municipal Advisors, LLC

Standard Hourly Rates by Job Classification
12/1/2023

Title	Hourly Rate
Partners / Principals / Directors	\$400 - \$600
Managers / Senior Managers	\$275 - \$400
Consultants / Analysts / Senior Consultants	\$175 - \$275
Support / Paraprofessionals / Interns	\$110 - \$175

Billing rates are subject to change periodically due to changing requirements and economic conditions. Baker Tilly will notify Client thirty (30) days in advance of any change to fees. If Client does not dispute such change in fees within that thirty (30) day period, Client will be deemed to have accepted such change. The fees billed will be the fees in place at the time services are provided. Actual fees will be based upon experience of the staff assigned and the complexity of the engagement.

BILLING PROCEDURES

Normally, you will receive a monthly statement showing fees incurred in the prior month. Occasionally, we may bill on a less frequent basis if the time involved in the prior month was minimal or if arrangements are made for the payment of fees from other Scope Appendixes. The account balance is due and payable on receipt of the statement.

Nonattest Services

As part of this engagement, we will perform certain nonattest services. For purposes of the Engagement Letter and this Scope Appendix, nonattest services include services that the *Government Auditing Standards* refers to as nonaudit services.

We will not perform any management functions or make management decisions on your behalf with respect to any nonattest services we provide.

In connection with our performance of any nonattest services, you agree that you will:

- Continue to make all management decisions and perform all management functions, including approving all journal entries and general ledger classifications when they are submitted to you.
- Designate an employee with suitable skill, knowledge, and/or experience, preferably within senior management, to oversee the services we perform.
- Evaluate the adequacy and results of the nonattest services we perform.
- Accept responsibility for the results of our nonattest services.
- Establish and maintain internal controls, including monitoring ongoing activities related to the nonattest function.

Conflicts of Interest

Attachment A to the Engagement Letter contains important disclosure information that is applicable to this Scope Appendix.

We are unaware of any additional conflicts of interest related to this Scope Appendix that exist at this time.

Termination

Notwithstanding termination provisions contained in the Engagement Letter, it is agreed that relative to this Scope Appendix that both the Client and Baker Tilly have the right to terminate the work being done under the Scope Appendix Annual Tax Incentive Report. This Scope Appendix will otherwise terminate 60 days after completion of the services described herein. On termination, all fees and charges incurred prior to termination shall be paid promptly.

If this Scope Appendix is acceptable, please sign below and return one copy to us for our files. We look forward to working with you on this important project.

Sincerely,



Marvin L. Founds, Managing Director

Signature Section:

The services and terms as set forth in this Scope Appendix are agreed to on behalf of the Client by:

Name: _____

Title: _____

Date: _____